

21STCV22394 21STCV22394

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Case Number: 21STCV22394 Hearing Date: June 30, 2026 Dept: 408

1. Defendants H.K. Investments LLC and Basem Khader's

Motion for Costs Pursuant to Code of Civil Procedure section 998 is GRANTED.

Costs are AWARDED in favor of Defendants and against Plaintiffs in the amount of \$18,915.70.

2. Defendants H.K. Investments LLC and Basem Khader's

Motion for Attorney's Fees is GRANTED. Fees are AWARDED in favor of Defendants and against Plaintiffs in the amount of \$82,940.00.

I.

BACKGROUND

On June 16, 2021, Plaintiffs Janet

Denise Hernandez-Clark and Graciela Jimenez ("Plaintiffs") filed a complaint

against Defendants H.K. Investments LLC, erroneously sued as H&K

Investments LLC ("H.K."), Basem Khader ("Khader"), Southern California

Investments & Developments, Inc. ("SCID"), Burbank Apartment Management,

LLC ("BAM"), 17115 Chatsworth Apartments, LLC ("17115 Apartments"), and 4717

Ben Apartments, LLC ("4717 Apartments", collectively "Defendants") alleging

causes of action for:

1. Breach of Contract;

2. Breach of Habitability;

3. Breach of Quiet Enjoyment;

4. Negligence;

5. Breach of Implied Covenant
of Good Faith and Fair Dealings;

6. Fraud;

7. Infliction of Emotional
Distress;

8. Nuisance;

9. Retaliation;

10. Violation of Covid
Protections (LAMC § 49.99.2); and

11. Violation of Rosenthal Fair
Debt Collections Practices Act Civil Code § 1788, et seq.

On June 21, 2021, Plaintiffs filed a First Amended
Complaint ("FAC").

On September 1, 2021, H.K. and Khader filed an answer to Plaintiffs' complaint.

On
September 9, 2021, at the request of Plaintiffs, BAM was dismissed without
prejudice.

On
September 14, 2021, at the request of Plaintiffs, 4717 Apartments and SCID were
dismissed without prejudice.

On September 1, 2021, H.K. and Khader filed an amended answer to Plaintiffs' complaint.

On
January 31, 2022, the court granted Plaintiffs' Motion for Leave to File a
Second Amended Complaint.

On
January 31, 2022, Plaintiffs Janet Denise Hernandez-Clark, Graciela Jimenez,

Dubwana Clark, Dubwana Clark II, Nascha Clark, Jadore Clark, and Nakai Clark ("Plaintiffs") filed a Second Amended Complaint ("SAC").

On

April 29, 2022, the court overruled Defendants' Demurrer to Plaintiffs' SAC.

On

May 13, 2022, H.K. and Khader filed an amended answer to Plaintiffs' SAC.

On

November 28, 2023, at the request of Plaintiffs, the court dismissed Plaintiff Graciela Jimenez with prejudice.

On

March 21, 2024, Plaintiffs Janet Denise Hernandez-Clark, Dubwana Clark, Dubwana Clark II, Nascha Clark, Jadore Clark, and Nakai Clark ("Plaintiffs") filed a Third Amended Complaint ("TAC").

On

June 4, 2025, the court ordered Plaintiffs' TAC stricken.

From

June 23, 2025, to June 26, 2025, the court held a jury trial for the instant action.

On

June 26, 2025, the court granted Defendants' Motion for Non-Suit.

On

August 6, 2025, the court entered Judgment in the instant action in favor of Defendants.

On

August 22, 2025, H.K. and Khader ("Moving Defendants") filed this Motion for Costs pursuant to Code of Civil Procedure section 998 and a Memorandum of Costs. On September 16, 2025, Moving Defendants filed a Notice of Non-Opposition, Plaintiffs filed an opposition, and Plaintiffs filed a Notice of Appeal as to the Judgment entered on August 6, 2025.

On

October 9, 2025, Moving Defendants filed a Motion for Attorney's Fees. No opposition or other responsive pleading has been filed.

On

November 20, 2025, the appellate court filed a Notice of Dismissal for Plaintiffs' appeal.

On

March 13, 2026, Plaintiffs filed a Notice of Removal to Federal Court.

On

April 7, 2026, the Federal Court issued a Notice of Remand.

II.

MOTION

FOR COSTS

A. Legal Standard

Code of Civil Procedure

section 998 states that "[i]f an offer made by a defendant is not accepted and the plaintiff fails to obtain a more favorable judgment or award, the plaintiff shall not recover his or her postoffer costs and shall pay the defendant's costs from the time of the offer." (Code Civ. Proc., § 998(c)(1).) "[T]he categories of postoffer costs to which a defendant is entitled under section 998 will be the same as the categories of preoffer costs to which the [prevailing] plaintiff is entitled." (Mangano v. Veirty, Inc. (2008) 167 Cal.App.4th 944, 950, quoting Scott Co. of California v. Blount, Inc. (1999) 20 Cal.4th 1103, 1115, fn. 3.) "[S]ection 998 does not grant greater rights to attorney's fees than those provided by the underlying statute." (Id., at 951.)

The purpose of Code of Civil

Procedure section 998 is to encourage settlement by providing a strong financial disincentive to a party, whether it be a plaintiff or a defendant, who fails to achieve a better result than that party could have achieved by accepting his or her opponent's settlement offer. (Mesa Forest Prods. v. St. Paul Mercury Ins. Co. (1999) 73 Cal. App. 4th 324, 330.) The harsh result of section 998 is that the plaintiff not only loses the right to recover his or her postoffer costs but must also pay the defendant's postoffer costs. (Ibid.) Simply put, section 998 penalizes a

plaintiff who fails to accept what, in retrospect, is seen to have been a reasonable offer. (Ibid.)

B. Discussion

Moving Defendants move the court to award \$18,915.70 in postoffer costs against Plaintiffs pursuant to Code of Civil Procedure section 998. (Motion, at pp. 6-7.)

Moving

Defendants contend that on May 16, 2025, Defendants served Plaintiffs with section 998 offers as follows: (1) \$70,000.00 offered to Plaintiff Dubwana Clark; (2) \$70,000.00 offered to Plaintiff Janet Denise Hernandez-Park; (3) \$40,000.00 offered to Plaintiff Dubwana Clark II; and (5) \$20,000.00 offered to Plaintiff Nascha Clark. (Motion, at pp. 3-4; Bortz Decl., ¶ 3, Exh. A.)

As

Plaintiffs did not accept Defendants' Section 998 offers, the parties proceeded to trial whereby Defendants incurred the following costs: (1) \$10,714.45 in trial court reporting fees for Magna Court Reporting Services; (2) \$2,340.00 in expert fees for Donell Expert Services, Inc.; (3) \$4,200.00 in expert fees for Dr. Michael Bush, M.D.; and (4) \$1,661.25 in expert fees for Forensic Analytical Consultants, Inc. (Motion, at p. 6; Bortz Decl., ¶¶ 6-8.)

The

court finds that Moving Defendants have shown they are entitled to recover their postoffer costs pursuant to Section 998. Moving Defendants demonstrated that valid Section 998 offers were made to Plaintiffs which were rejected. (Bortz Decl., ¶¶ 3-4, Exh. A.) Moreover, the court finds that Plaintiffs failed to obtain a more favorable judgment following trial as the court granted Defendants' Motion for Non-Suit and entered a judgment in favor of Defendants. (Judgment, dated August 6, 2025; Court Order, dated June 26, 2025.) The court also notes that although Plaintiffs filed oppositions, Plaintiffs fail to provide any substantive argument and merely notify Defendants that an appeal on the Judgment was filed. (Cal. Rules of Court, rule 8.54, subd. (c) ["A failure to oppose a motion may be deemed a consent to the granting of the motion."]; *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410.)

As

such, the motion is granted. The court awards costs in favor of Moving Defendants and against Plaintiffs in the amount of \$18,915.70.

III.

MOTION FOR ATTORNEY'S FEES

A.

Legal Standard

A

prevailing party is entitled to recover its attorney's fees when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10); Civ. Code, § 1717, subd. (a).) "A successful party means a prevailing party, and [a party] may be considered prevailing parties for attorney's fees purposes if they succeed on any significant issue in litigation which achieves some of the benefit the parties sought in bringing suit." (Bowman v. City of Berkeley (2005) 131 Cal.App.4th 173, 178.)

B.

Discussion

1. Parties' Arguments

Defendants

move the court to award \$382,533.97 in attorney's fees against Plaintiffs Janet Denise Hernandez-Clark and Graciela Jimenez as signatories of the lease agreement for the property located at 17115 Chatsworth Street #206, Granada Hills, CA 91344 ("Subject Property"), and an additional \$4,350.00 in attorney's fees for time spent preparing this motion and supporting documents. (Motion, at pp. 9-10.)

Plaintiffs

failed to file an opposition. (Cal. Rules of Court, rule 8.54, subd. (c) ["A failure to oppose a motion may be deemed a consent to the granting of the motion."]; Sexton v. Superior Court (1997) 58 Cal.App.4th 1403, 1410.)

2. Authority for Fees & Prevailing Party

a. Legal Standard

A

prevailing party is entitled to recover its attorney's fees when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10); Civ. Code, § 1717, subd. (a).)

b. Discussion

On June 23, 2025, the court held a jury trial for the instant action. (Motion, at p. 3.) Plaintiffs rested their case on June 26, 2025, and Defendants made a Motion for Nonsuit pursuant to Code of Civil Procedure section 581(c) arguing that Plaintiffs failed to introduce any evidence to support their causes of action. (Ibid.) On June 26, 2025, the court granted Defendants' Motion for Non-Suit. (Ibid.) On August 6, 2025, the court entered Judgment in the instant action in favor of Defendants and against Plaintiffs. (Bortz Decl., ¶ 4, Exh. B.)

Defendants' recovery is based on the attorney's fee provision found within the lease signed by Plaintiffs which provides, in relevant part, as follows:

"17. ATTORNEY'S FEES:

If either party commences an action against the other party arising out of or in connection with this lease, the prevailing party shall be entitled to have and recover from the losing party reasonable attorney's fees and costs of suit."

(Motion, at p. 4; Bortz Decl., ¶ 3, Exh. A.)

As such, Defendants are the prevailing party and entitled to recover their reasonable attorney's fees and costs pursuant to the terms of the lease for the Subject Property and the Judgment entered.

3. Method of Calculation for Fees

a. Legal Standard

In determining a reasonable attorney fee, the trial court begins with the lodestar, i.e., the number of hours reasonably expended multiplied by the

reasonable hourly rate. (Warren v. Kia Motors America, Inc. (2018) 30 Cal.App.5th 24, 36.) The lodestar may then be adjusted based on factors specific to the case in order to fix the fee at the fair market value of the legal services provided. (Ibid.) These facts include (1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award. (Ibid.)

b. Discussion

Considering that neither party proposes a different method for calculating fees, the court uses the lodestar adjustment method.

4. Reasonableness of the Fees Claimed

a. Reasonableness of the Hourly Rates

i. Legal Standard

“The courts repeatedly have stated that the trial court is in the best position to value the services rendered by the attorneys in his or her courtroom, and this includes the determination of the hourly rate that will be used in the lodestar calculus. In making its calculation, the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases.” (569 East County Boulevard LLC v. Backcountry Against the Dump, Inc. (2016) 6 Cal.App.5th 426, 437 [citations omitted].)

ii. Discussion

Defendants

claim an hourly rate for their current counsel of \$290.00 per hour for Counsel Arthur N. Bortz and \$140.00 per hour for Paralegal Sandy Jackson of Ropers Majeski, PC for services provided to H.K. (Motion, at p. 8; Bortz Decl., ¶ 5, Exh. C.)

Moreover,

H.K. also submitted Plaintiffs' claim to its insurance carrier which initially retained the law firm of Lewis Brisbois Bisgaard & Smith, LLP ("Lewis Brisbois") to defend H.K. until February 2025 when Ropers Majeski, PC substituted into this case to serve as trial counsel. (Motion, at pp. 8-9.) H.K. had three insurers participating in its defense of Plaintiffs' action, AmGUARD Insurance, Massachusetts Bay Insurance Company, and DB Insurance Ltd. adjusted through Broadspire Services, Inc. (Id., at p. 9.) AmGUARD Insurance Company paid a total of \$126,877.04 in attorney's fees to Lewis Brisbois. (Id.; Belcher Decl., ¶ 4.) Massachusetts Bay Insurance Company paid a total of \$55,161.62 in attorney's fees to Lewis Brisbois. (Chew Decl., ¶ 4.) Broadspire Services, Inc. paid a total of \$70,320.81 in attorney's fees to Lewis Brisbois. (Bennett Decl., ¶ 4.)

Lastly,

H.K. hired private counsel from Law22 to monitor and participate in its defense expending \$42,062.50 in attorney's fees for Counsel Fadi Amer. (Khader Decl., ¶ 5.)

The

court finds that the hourly rate claimed for Counsel Arthur N. Bortz of \$290.00 is reasonable. However, the court also finds that attorney's fees should not be awarded for services provided by Paralegal Sandy Jackson. (Roe v. Halbig (2018) 29 Cal.App.5th 286, 312.) Moreover, as Defendants failed to provide any further information to determine the reasonableness of the attorney's fees claimed as to the hourly rate of counsel and the number of hours incurred, the court will not award attorney's fees for Lewis Brisbois and Law22. The court will only consider the reasonableness of the hours incurred by Ropers Majeski, PC.

b. Reasonableness of the Number of Hours

i. Legal Standard

"Under the lodestar adjustment methodology, the trial court must initially determine the actual time expended and then ascertain whether under all the circumstances of the case the amount of actual time expended and the monetary charge being made for the time expended are reasonable. Factors to be considered include, but are not limited to, the complexity of the case and procedural demands, the attorney skill exhibited and the results achieved. The prevailing party and fee applicant

bears the burden of showing that the fees incurred were reasonably necessary to the conduct of the litigation and were reasonable in amount. It follows that if the prevailing party fails to meet this burden, and the court finds the time expended or amount charged is not reasonable under the circumstances, then the court must take this into account and award attorney fees in a lesser amount." (Mikhaeilpoor v. BMW of N. Am., LLC (2020) 48 Cal.App.5th 240, 247 [cleaned up].)

ii. Discussion

Defendants'

counsel, Ropers Majeski, PC, claims 281.0 hours for Counsel Arthur N. Bortz and 47.3 hours for Paralegal Sandy Jackson. (Motion, at p. 8; Bortz Decl., ¶¶ 5-6, Exh. C.) Defendants also request an additional 15.0 hours for preparing this motion. (Motion, at p. 10.)

The

declaration and billing records provided by Defendants' counsel are sufficient to meet the burden of proving the reasonableness of the claimed fees in terms of amounts and tasks. To satisfy this burden, evidence and descriptions of billable tasks must be presented in sufficient detail, enabling the court to evaluate whether the case was overstaffed, the time attorneys spent on specific claims, and the reasonableness of the hours expended. (Lunada Biomedical v. Nunez (2014) 230 Cal.App.4th 459, 486-487.)

Defendants'

fee recovery is based on 281.0 hours for Counsel Arthur N. Bortz spent litigating the instant action. (Bortz Decl., ¶ 5, Exh. C.) The fees incurred are reasonable, as captured in the billing records submitted to this court. Counsel's billing records reflect the actual time and descriptions of services performed in connection with litigating this case. Although the submission of such detailed time records is not necessary under California law, if submitted, such records "are entitled to credence in the absence of a clear indication the records are erroneous." (Horsford v. Board of Trustees of California State University (2005) 132 Cal.App.4th 359, 396.)

However,

the court will not grant attorney's fees on the hours spent by Paralegal Sandy Jackson as mentioned above. (Roe, supra, 29 Cal.App.5th at 312.) The court will also not grant attorney's fees for Lewis Brisbois and Law22 due

to the lack of information.

Accordingly,

the court grants attorney's fees in the reduced amount of \$81,490.00 comprised of 281.0 hours spent by Counsel Arthur N. Bortz at the hourly rate established above. The court will only grant an additional 5 hours for the preparation of the instant motion to the hearing due to the simple nature of the issues presented without the need to respond to an opposition for a total of \$1,450.00 in additional recovery.

IV.

CONCLUSION

1. Defendants H.K. Investments LLC and Basem Khader's

Motion for Costs Pursuant to Code of Civil Procedure section 998 is GRANTED.

Costs are AWARDED in favor of Defendants and against Plaintiffs in the amount of \$18,915.70.

2. Defendants H.K. Investments LLC and Basem Khader's

Motion for Attorney's Fees is GRANTED. Fees are AWARDED in favor of Defendants and against Plaintiffs in the amount of \$82,940.00.